cedar

Cedar overview



May 2020

Cedar's mission

Enable exceptional patient experiences to improve lives, foster engagement and transform US healthcare.



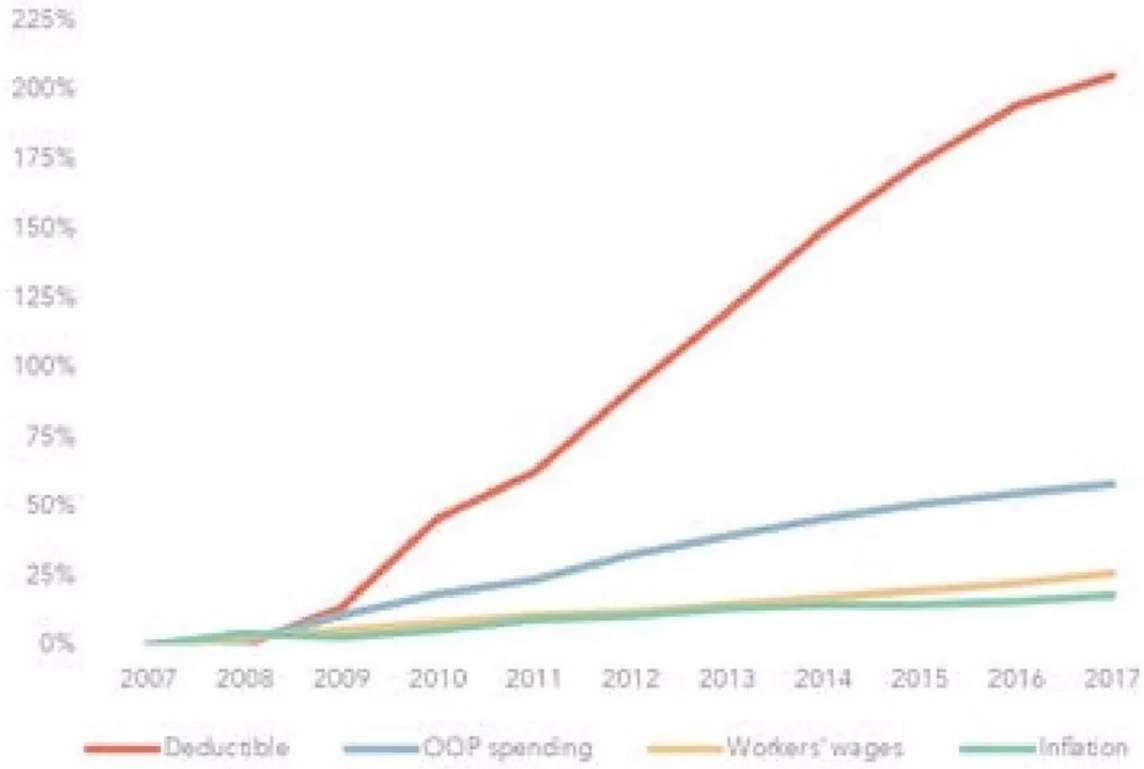
The problem with healthcare billing in the US

Patient responsibility has skyrocketed over the last decade

Patient payments have become a significant part of provider's revenue.

Patient out-of-pocket (OOP) spending has reached $366bn [1], with OOP spending up 58% [2] and deductible spending up 205% [2] for employer-sponsored insurance, while bad debt continues to accelerate.

Cumulative growth in total patient responsibility, 2007-2017 [2]



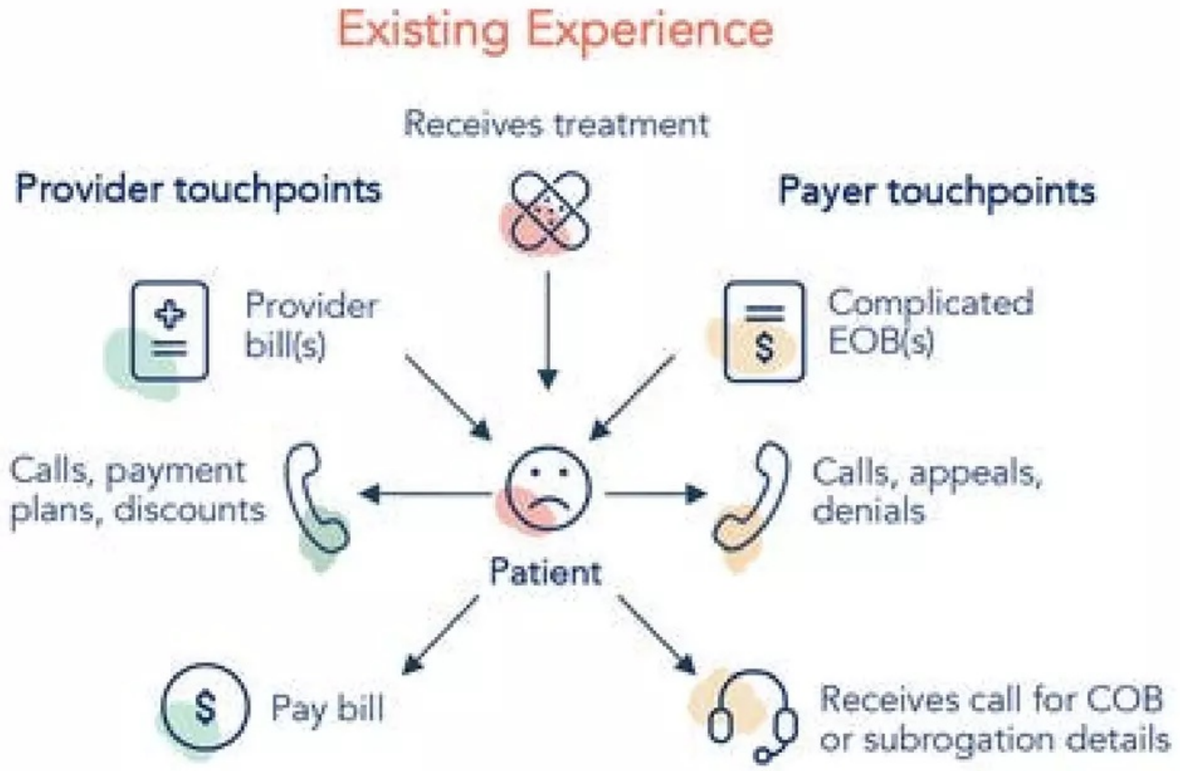
Notes:
1. Based on CMS National Health Expenditure data including pharma and dental.
2. Kaiser Family Foundation (2019). Tracking the rise in premium contributions and cost-sharing for families with large employer coverage.



Consumers are confused and frustrated...

- Accessing pricing info
- Time between services & billing
- Accurately estimating OOP costs
- Understanding billing language and personal obligation
- Scheduling services
- Understanding payment options

...because the billing process was not made for patients



34%

of healthcare consumers had a healthcare bill go to collections in the last year (1)

Top reasons include:

43% confusion about bill amount (1)

26% outdated billing & notification process (1)

~22mm

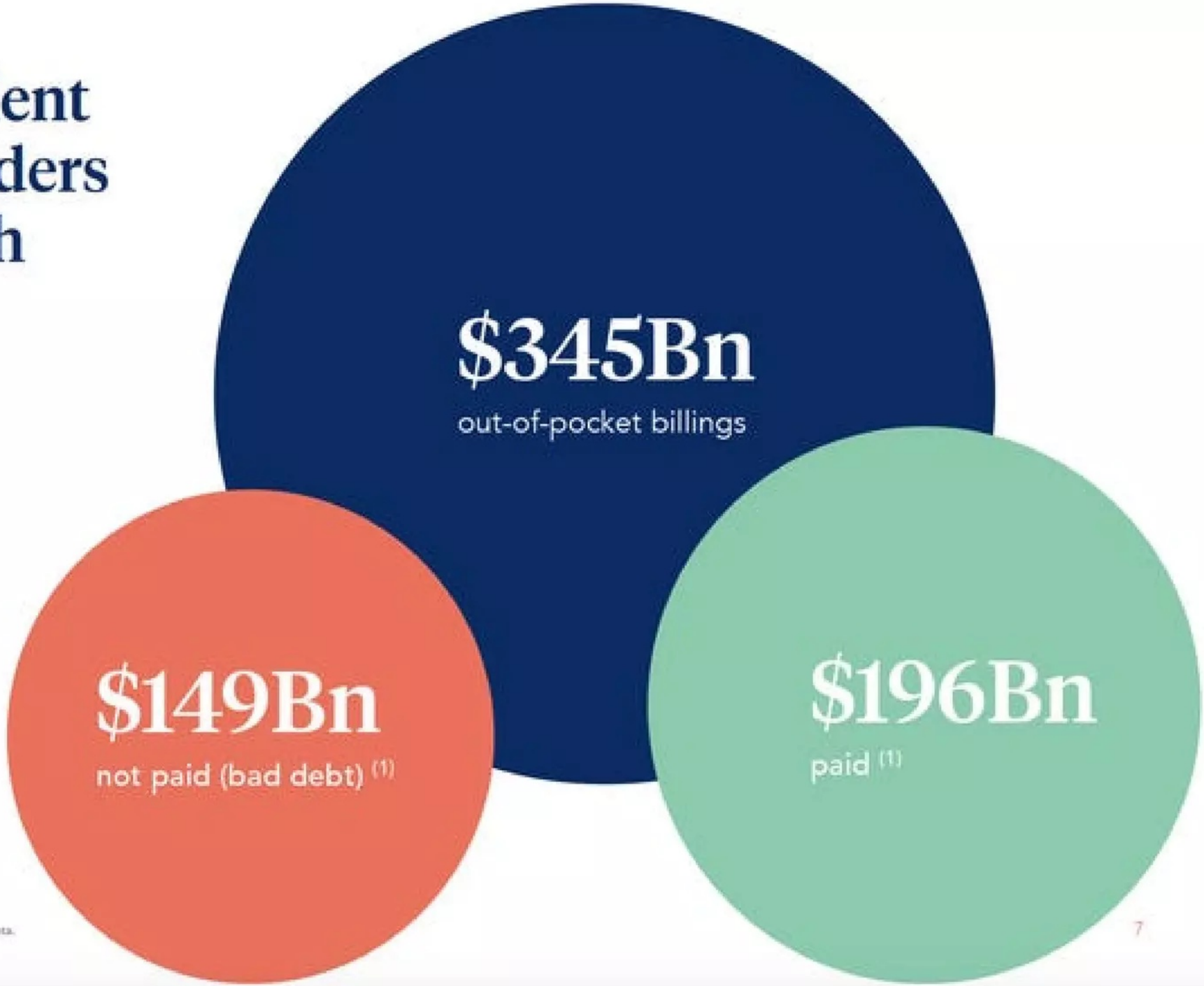
Americans with otherwise clean credit have had their credit score affected by medical bills <$250 (2)

Notes:
1. CedarSurveta research.
2. Per US Consumer Financial Protection Bureau.

In addition to patient complaints, providers are struggling with unpaid bills...

43%

of the invoiced amounts go unpaid



Notes:
1. Based on Cedar analysis and CMS National Health Expenditure data.

...leaving some to pursue aggressive collection practices

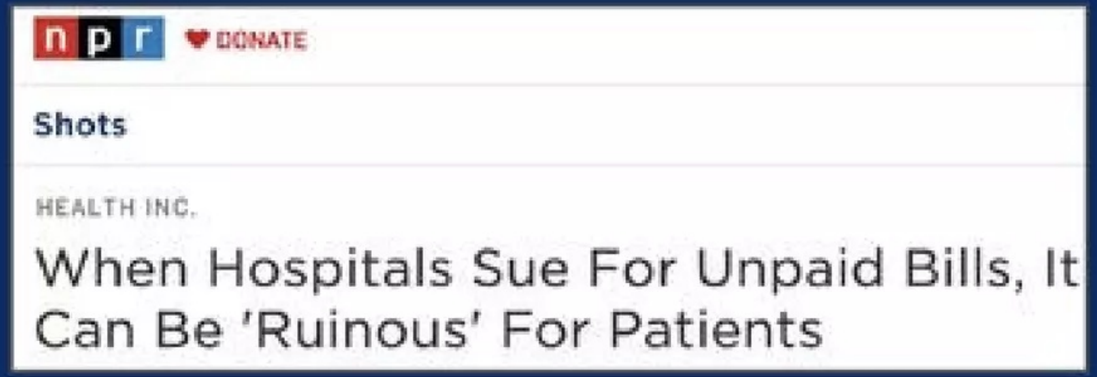


THE WALL STREET JOURNAL.

U.S.

When Patients Can't Pay, Many Hospitals Are Suing

Politicians want to rein in aggressive tactics used by nonprofit hospitals to collect unpaid bills, including suits and garnishing of wages



npr DONATE

Shots

HEALTH INC.

When Hospitals Sue For Unpaid Bills, It Can Be 'Ruinous' For Patients



PROPUBLICA Donate

PROFITING FROM THE POOR

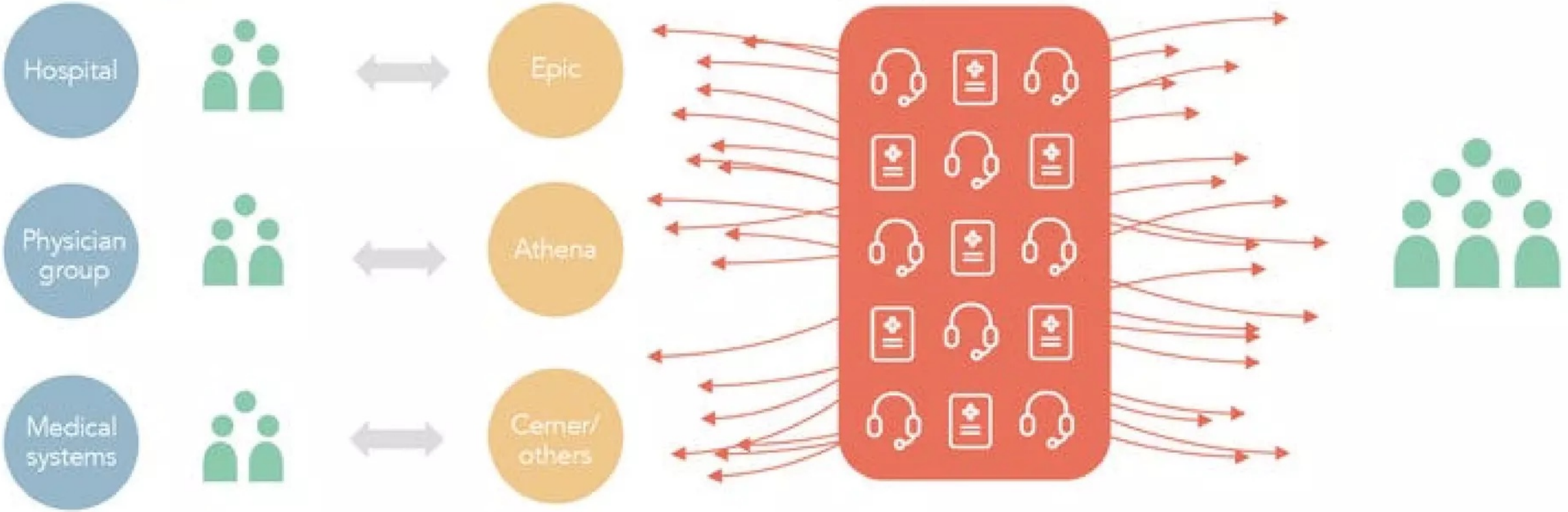
The Nonprofit Hospital That Makes Millions, Owns a Collection Agency and Relentlessly Sues the Poor

Nonprofit hospitals pay virtually no local, state or federal income tax. In return, they provide community benefits, including charity care to low-income patients. In Memphis, Methodist Le Bonheur Healthcare has brought 8,300 lawsuits for unpaid medical bills in just five years.

How has Cedar solved the consumer experience problem?



Archaic EMRs and billing systems are not designed for consumer experience



Epic, Cerner, and other EMRs are on-premise enterprise infrastructure technologies that focus on medical record-keeping and insurance billing.

The solution

Cedar will be the sole patient-provider connection



Cedar will enable the health system to engage and transact with the consumer digitally and across different EMRs.

Our product vision

In the next 5 years, we aim to be the leading comprehensive healthcare consumer engagement platform for providers, engaging with over half of the US patient population to improve their lives.

We will achieve this vision by being **the best** in three areas:



Integrations

- Reliable integrations with provider systems.
- Integrations with other parties, such as payers, financial entities (banks, processors, etc.) and eventually devices.



Consumer interface

- Workflows that hide the complexity of healthcare to save consumers time, money and stress.
- Focus on areas where we can quantifiably prove our value-add.
- Start with financial workflows and then branch out.



Personalization

- Workflows that adapt to the unique needs of each user (e.g. present financial assistance to users who need it).
- Consumer experience that feels personal, modern and empowering.

Cedar Pay was our first product and a successful entry point...

Cedar Pay is a patient billing and payment solution that personalizes the post-visit financial experience, leading to better patient relationships and better business results.

Features

- Dynamic patient outreach
- Easy-to-understand statements
- Customizable payment plans
- Self-serve insurance capture
- Data-driven discounting
- Live chat and bot

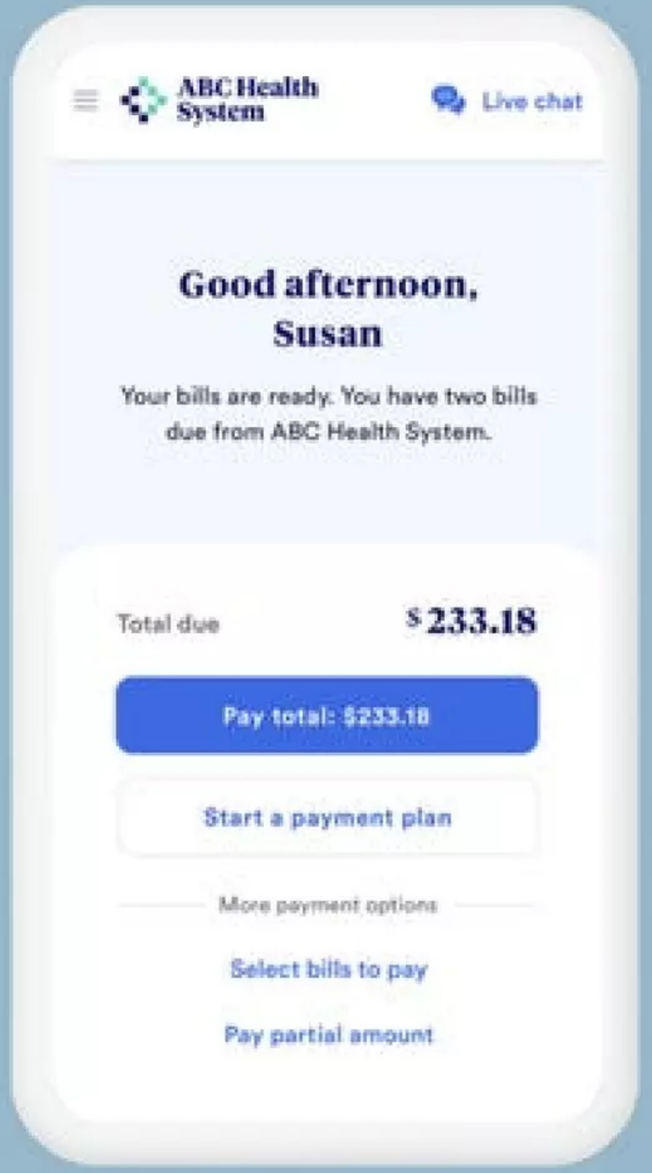
Key capabilities

We better understand patients and their needs

We've developed scalable, battle-tested integrations

We lean into data to optimize the patient experience and KPIs

Our offering demonstrably benefits patients and providers alike



...which will enable us to expand the Cedar Suite into a category-defining product

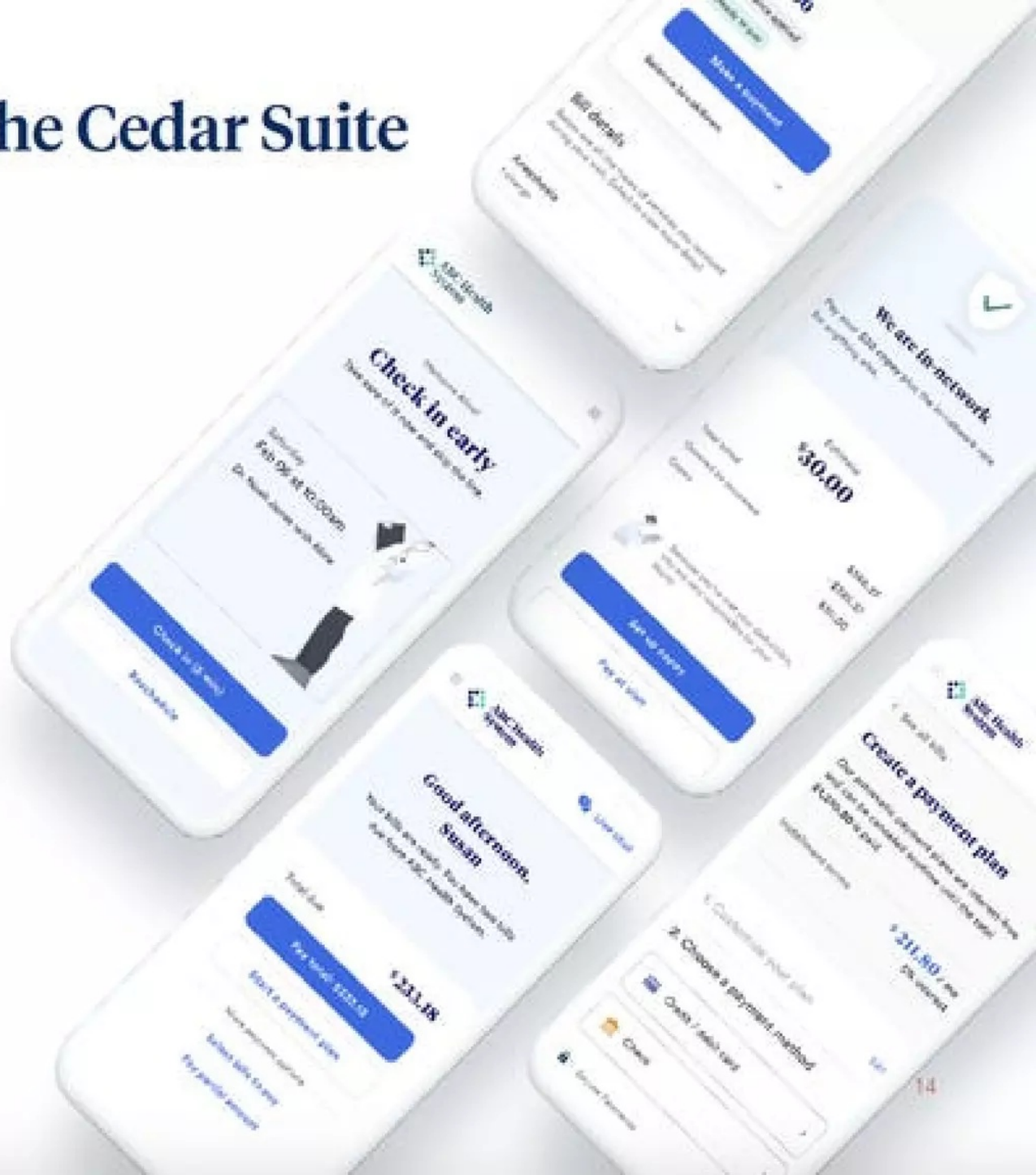
Leveraging Cedar Pay's capabilities, we're building a pre-visit product that enables providers to manage the patient experience end-to-end.

- Digital appointment reminders
- Insurance capture
- Registration forms
- Price estimates

Key partners

NOVANT HEALTH

ChristianaCare



Cedar's strategizer is personalizing the outreach to every patient

Personalization of the outreach increases engagement and results in happier patients and higher payment rates.

EHR Data
Treatment
Visit Frequency
Payment History

Demographics
Date of Birth
Address
Phone Number

Data
Census
Marketing Data
Real Estate Data

+

Cedar Database



Mail and digital



Time of engagement



Geographical behavior



Propensity to pay

Cedar also provides powerful analytics tools for providers to better engage with their data



Patients and providers rave about Cedar's impact

30%
increase in collections

70%
digital adoption

95%
patient satisfaction

88
Provider NPS (1)



"Please get all companies to make it this simple. You want your money? Make it EASY."
Patient

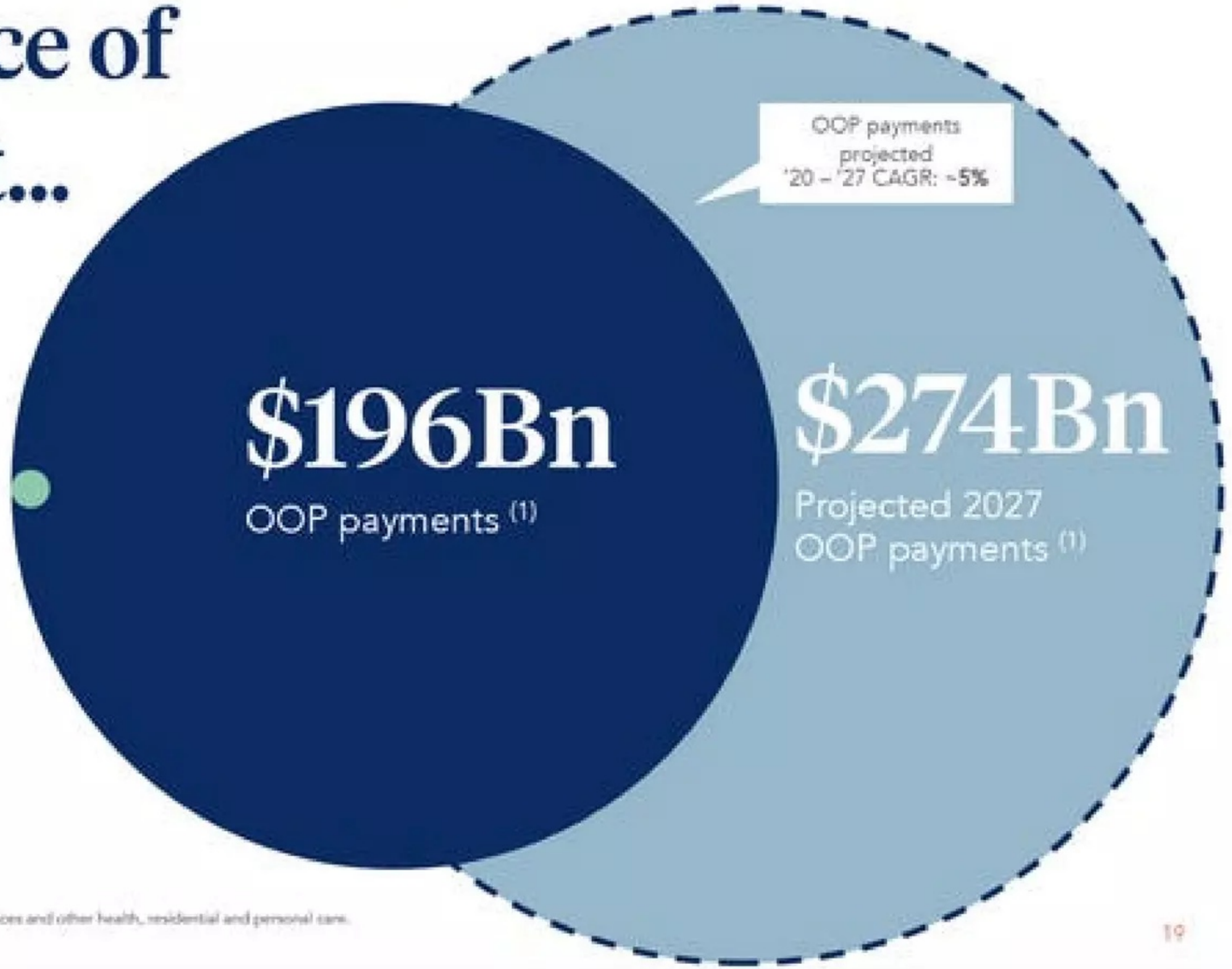
"Medical bills are intimidating and cause stress, this was totally stress free. Was able to enter into a comfortable payment plan."
Patient

"Cedar is one of the few technology partners on the market that really understands what the patient needs and how to make it easier for them."
VP, U.S. Dermatology Partners

Notes:
1. As of 4Q '19, based on live clients.

Cedar has executed well against a large market opportunity

Despite the success, Cedar has not scratched the surface of the massive market...



Current Cedar collections

Notes
1. Based on CMS National Health Expenditure data, excludes dentistry, pharmaceuticals, medical devices and other health, residential and personal care.

...which drives a large opportunity for the Cedar Suite

$6-8Bn

Cedar Pay opportunity (1)

~$196Bn

Out-of-pocket healthcare expenditure as of 2020 (2)

+

$4Bn

Front-end opportunity (3)

$4Bn

Subscription-based revenue from ~890k providers (3) (front-end providers)

=

$10-12Bn+

Cedar Suite opportunity
(with current products and no market growth)

Notes:
1. Based on range of estimated take-rates.
2. Based on CMS National Health Expenditure data, excludes dentistry, pharmaceuticals, medical devices and other health, residential and personal care.
3. Kaiser Family Foundation, BLS Data, American Association of Nurse Practitioners, National Commission of Certification of Physician Assistants.

Cedar is in the right place, at the right time...

Cedar has strong secular tailwinds driving our growth.

We benefit from client growth. Cedar's focus on enterprise clients makes us a winner in a consolidating end market.

COVID-19 has accelerated the shift towards modern technology check-in and billing practices, improving operational efficiency as well as digital patient communication and payments.

New legislation, like out-of-network billing and price transparency – Cedar is well positioned to benefit from this secular tailwind.

... and has a strong team to fuel its flywheel



Appendix

Cedar's founders



Florian Otto

Co-founder and CEO

An accomplished entrepreneur and former physician, Florian now drives growth and sets overall direction across all facets of Cedar's operations. Prior to founding Cedar, Florian was an executive at Zocdoc where he drove the commercial adoption of the platform. Florian also founded a daily deal company in Brazil (ClubeUrbano) that was eventually acquired by Groupon. After the acquisition, he became Chief Executive Officer of Groupon Brazil, growing the company to one of Groupon's top three international markets. Florian began his business career as a strategy consultant at McKinsey & Company within their healthcare practice. Florian holds a M.D., D.D.S. and PhD from the University of Freiburg, Germany.



Arel Lidow

Co-founder and President

Arel Lidow is co-founder and head of product at Cedar. Prior to founding Cedar in 2016, Arel was VP of product at AppNexus where he over saw the development and launch of the company's flagship products. He was recognized as an honorary founder and received the "Founder Award" for his contributions to the company. Arel began his career as a Technology Associate at Bridgewater Associates, working on trading systems for the world's largest hedge fund. He graduated from Princeton University with a B.S.E. in electrical engineering and a certificate in finance.

Cedar's team leads



Aaron Zollman
Chief Security Information Officer



Amy Stillman
Head of Design



Arvind Kadaba
Head of Finance



Bethany Hale
Head of Marketing



Cat Arndt
Head of Client Growth



Hassan Sultan
Chief Technology Officer



Ian Ha
Head of Partnerships



Liz Ratto
Head of People



Niren Gandra, MD
Chief Commercial Officer



Yohann Smadja
Head of Data Science


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